

Retail Research	IPO Note
Sector: Flexible Workspace Solutions	Price Band (Rs): 387 – 407
8 th July 2025	Recommendation: AVOID

Smartworks Coworking Spaces Ltd.

Company Overview:

Smartworks Coworking Spaces Ltd (SCSL) is an office experience and managed campus platform with a leased & managed total super built-up area (SBA) of 8.99 mn sq ft across 50 centres and 15 cities as of Mar'25. SCSL was the largest managed campus operator amongst peers in terms of total stock as of Mar'24. The company operates by leasing entire bare-shell properties in prime location from landlords and transforming them into fully serviced, aesthetically pleasing and tech-enabled campuses. The company's capacity as of Jun'25 stood at 2,31,548 total seats across 48 operational campuses (1,90,421 seats), 2 fit-out centres (15,042 seats) and 4 upcoming centres (26,085 seats). The company strategically focuses on properties in Tier-1 cities and has established itself in 19 key clusters with 40 centres and SBA of 8.48 mn sq ft.

Key Highlights:

1. Market leadership backed by robust scale: As of Mar'24, the company stood as the largest managed campus operator among peers with a total leased signed portfolio of 8.0 mn sq ft. SCSL's total managed campus platform SBA stood at 10.08 mn sq ft as of Jun'25, primarily in Tier-1 and emerging hubs like Bengaluru, Pune, Hyderabad, Gurugram, etc. This pan-India presence in key clusters has made it a suitable partner for mid-to-large enterprises and helped it to establish the "Smartworks" brand.

2. Focus on clients with higher seat requirements: SCSL caters to the need of all team sizes from under 500 seats to over 6,300 seats. However, the company's specific focus lies on mid to large enterprises that have a seat requirement of over 300 seats as they typically form long-term contractual agreements, committing to workspaces for extended tenures and lock-in periods. This has helped the company maintain a weighted average total tenure of ~46 months each in FY23, FY24 and FY25. Further, this has also helped the company maintain a high seat retention rate of 96.2%/88.3%/86.8% in FY23/FY24/FY25 respectively.

3. Cost efficient execution: The company's commercial model resonates with the price conscious ethos of India customers and the campuses are designed using standardized, modular and reusable fit-outs. This helps SCSL achieve economies of scale and leverage its proprietary technology for build-outs and operations. As of Mar'25, the company's budgeted capex per sq ft stood at Rs 1,350, while its monthly centre operation cost ranged between Rs 34 to Rs 36 per sq ft, both of which are below industry average.

4. Ability to lease and transform facilities: SCSL's operational excellence lies in its ability to partner with passive and non-institutional landlords and develop those properties into amenities rich "Smartworks" branded campuses. As a result, the company has positioned itself in key Tier-1 clusters like Bengaluru, Pune, Hyderabad, Gurugram, etc. with 89.7%/90.0%/94.4% of its SBA established in these key clusters respectively.

Valuation: SCSL is one of the prominent customized managed workspace solutions offering company with a diversified client base. It generates strong operating cash flows supported by its healthy operating metrics such as retention rate of ~87% (FY25) and committed operational occupancy rate of ~89% as of Jun'25. The company's Revenue/EBITDA/Adj. EBITDA have grown at a CAGR of 39.0%/42.2%/117.6% respectively between FY23-25. However, on a net basis the company is generating loss due to heavy depreciation. At the upper price band of Rs 407, SCSL is valued at FY25 EV/Adj. EBITDA of 26.3x. We recommend investors to AVOID the issue and track company's performance post listing especially focusing on its capital efficiency through variable rental business model and managed contracts. We believe companies like Awfis Space Solutions offers better investment opportunity within the coworking space which is currently profitable and trades at FY25 EV/Adj. EBITDA of 26.5x.

Issue Details	
Date of Opening	10 th July 2025
Date of Closing	14 th July 2025
Price Band (Rs)	387 – 407
Offer for sale (shares)	33,79,740
Fresh Issue (Rs cr)	445
Issue Size (Rs cr)	576 – 583
Issue Size (No. of shares)	1,48,78,448 – 1,43,13,401
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	4,438 – 4,645
BRLMs	JM Financial, BOB Capital Markets, IIFL Capital Services, Kotak Mahindra Capital Company.
Registrar	MUFG Intime India Pvt Ltd.
Bid Lot	36 shares and in multiples thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%
Employee Reservation (Rs cr)	3.75

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Repayment, prepayment or redemption of borrowings availed by the company.	114.0
Capex for fit-outs in new centres and for security deposits of the new centres.	225.8
General corporate purposes [^]	-
Total proceeds from fresh issue	445.0

[^] The amount to be utilized towards general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	6,72,72,413	65.2
Public & Others	3,59,17,179	34.8
Total	10,31,89,592	100.0

Post Issue @ Lower Price Band	No. of Shares	%
Promoter & Promoter Group	6,64,72,413	58.0
Public & Others	4,82,15,887	42.0
Total	11,46,88,300	100.0

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	6,64,72,413	58.2
Public & Others	4,76,50,840	41.8
Total	11,41,23,253	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY23	FY24	FY25
Revenue from operations	711.4	1,039.4	1,374.1
EBITDA	424.0	659.7	857.3
Adj. EBITDA ^{^1}	36.4	106.0	172.2
PAT	(101.0)	(50.0)	(63.2)
EBITDA Margin (%)	59.6	63.5	62.4
Adj. EBITDA Margin ^{^1} (%)	5.1	10.2	12.5
PAT Margin (%)	-	-	-
RoE (%)	-	-	-
RoCE (%)	18.4	54.6	50.8
P/CEPS (x) ^{^2}	-	40.3	35.0

Source: RHP, SSL Research

^{^1} Adj. EBITDA is EBITDA adjusted for cash outflows for lease liabilities

^{^2} Pre-issue based on upper price band

CEPS: Cash EPS

Risk Factors

- **Geographic concentration risk:** Although the company is present in 15 cities, it derived 77.9%/80.1%/75.2% of its FY23/FY24/FY25 revenue respectively from its Top 4 cities.
- **Low negotiating power:** The company has lower negotiating power when it deals with mid to large clients and may have to accept unfavorable terms to secure the contract.
- **Lease renewal risk:** Any failure to renew lease contracts from landlords may have an adverse impact on the company's operations.
- **Client retention risk:** Although the company has a high retention rate, any failure to retain clients in the future may have an adverse impact on the company's operations.

Growth Strategy

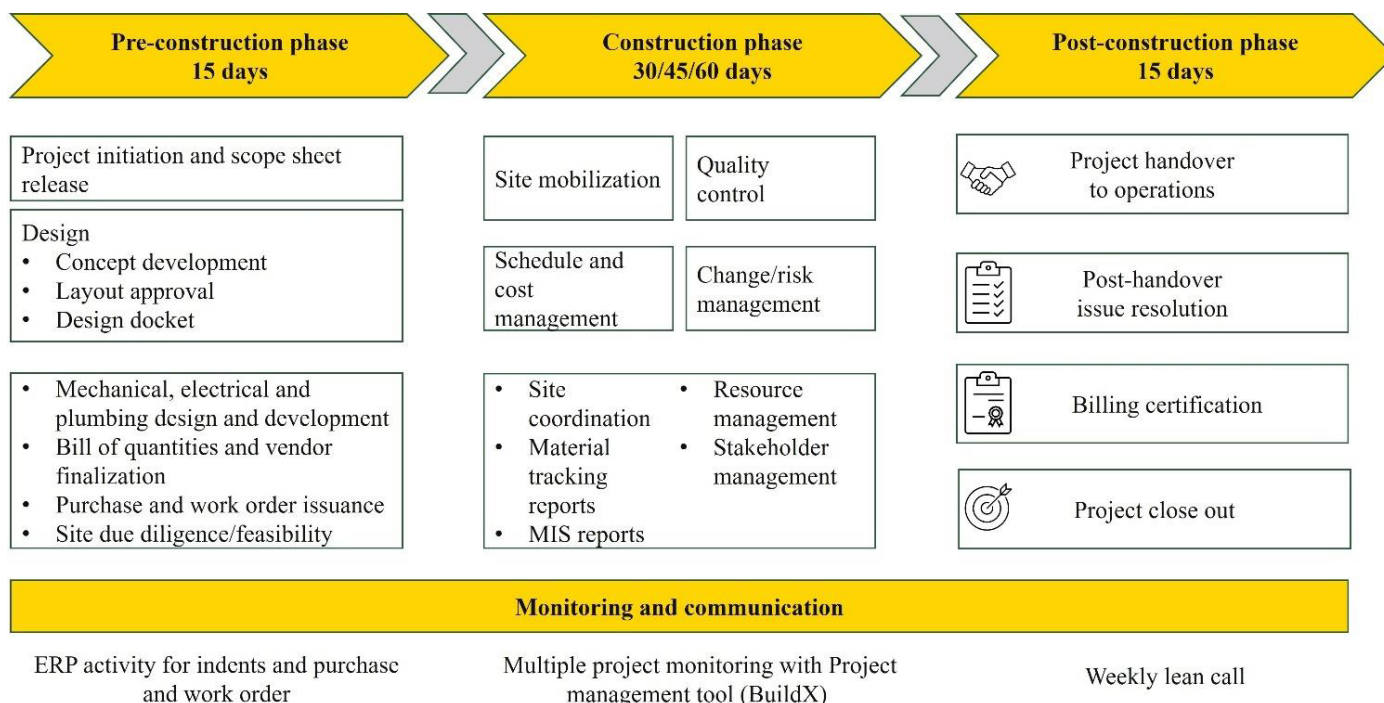
- Capitalize market leadership, learnings and expertise to further scale its core business.
- Enhance capital efficiency through variable rental business model and managed contracts.
- Scale up margin accretive new revenue streams.
- Continue to build proprietary technology to improve operational efficiency and create opportunities for monetization.
- Focus on sustainability.

Pan-India Geographical Presence

Region	Total Area (mn sq ft)	as a % of Total Area	Key Campuses
West	5.75	48.2	Ahmedabad, Indore, Mumbai and Pune
South	3.68	30.9	Bengaluru, Chennai, Coimbatore, Hyderabad and Kochi
North	2.12	17.8	Delhi, Gurugram, Jaipur, oida
East	0.37	3.1	Kolkata
Total	11.92	100.0	

Source: RHP, SSL Research

Project Management Process



Source: RHP, SSL Research

Key Operational Parameters – Centres

Particulars	FY23	FY24	FY25	1QFY25
Cities	12	13	15	-
Total Centres	39	41	50	54
Operational Centres	39	39	46	48
Super Built-Up Area (SBA) in mn sq ft	6.16	8.00	8.99	10.08

Source: RHP, SSL Research

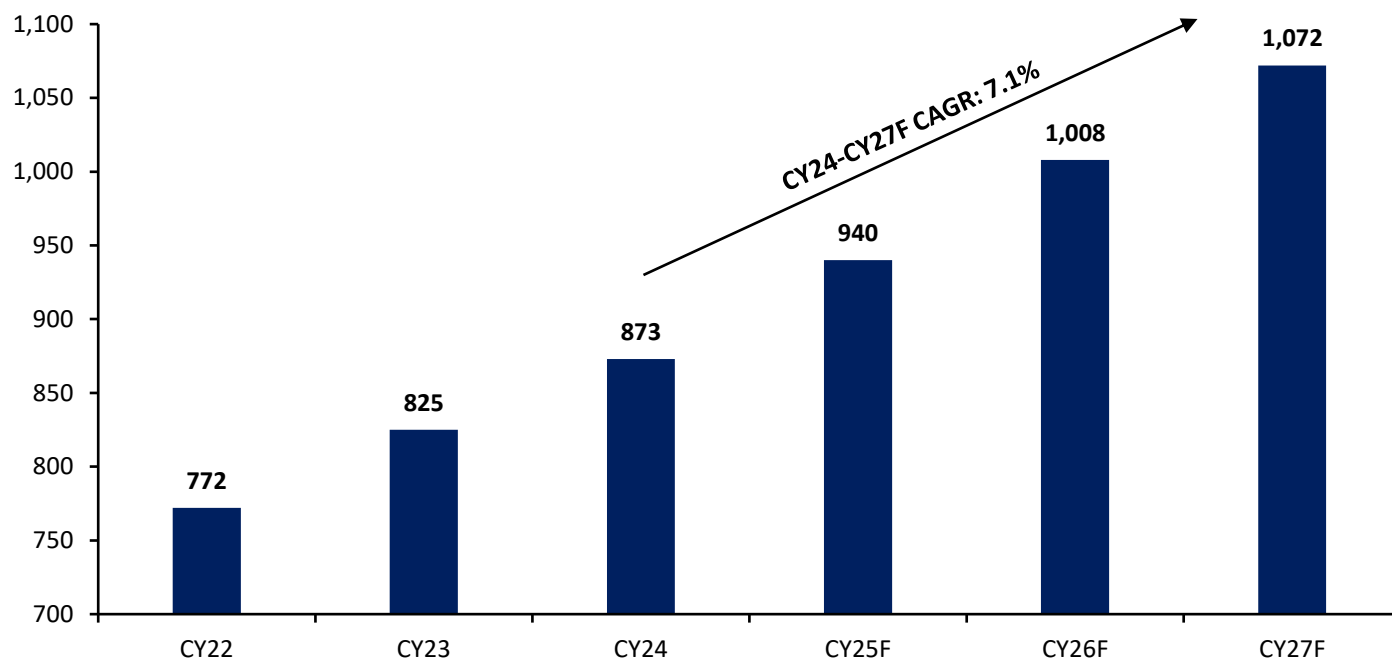
Operational Parameters – Capacity

Particulars	FY23	FY24	FY25	1QFY25
Number of Clients	521	603	738	728
Total Capacity Seats	1,37,564	1,82,228	2,03,118	2,31,548
Operational Capacity Seats	1,37,564	1,63,022	1,83,613	1,90,421
Occupied Seats	1,05,568	1,30,047	1,52,619	1,69,541
Occupancy Rate (%)	76.7	79.8	83.1	89.0
Retention Rate (%)	96.2	88.3	86.8	-

Source: RHP, SSL Research

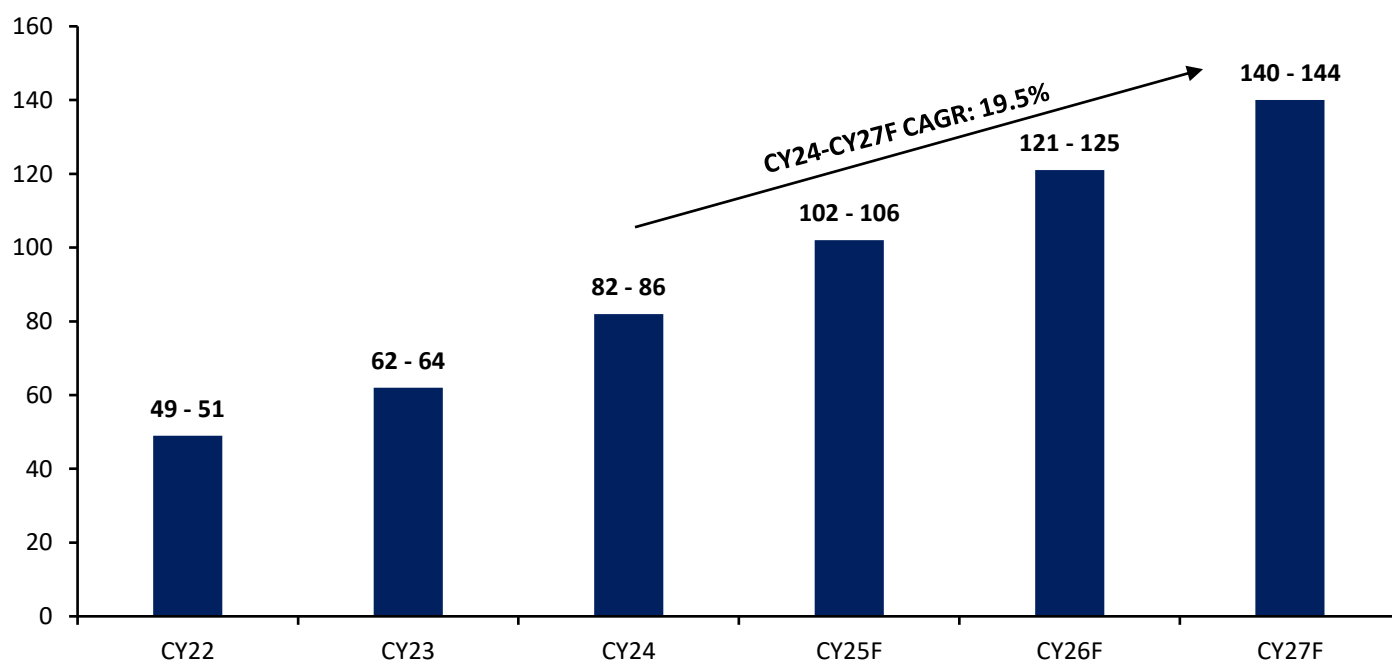
Industry Overview

Total Office Stock in Tier-1 cities, India (mn sq ft)



Source: RHP, SSL Research

Flexible Workspace Stock in Tier-1 cities, India (mn sq ft)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	FY23	FY24	FY25
Revenue from Operations	711	1,039	1,374
YoY growth (%)	-	46.1%	32.2%
Operating Expenses	220	303	416
Employee Cost	41	50	65
Other Operating Expenses	27	27	35
EBITDA	424	660	857
EBITDA margin (%)	59.6%	63.5%	62.4%
Adj. EBITDA^{^1}	36	106	172
Adj. EBITDA margin^{^1} (%)	5.1%	10.2%	12.5%
Other Income	33	74	36
Interest Exp.	237	328	336
Depreciation	356	473	636
PBT	(136)	(68)	(79)
Exceptional item	-	-	-
Tax	(35)	(18)	(16)
PAT	(101)	(50)	(63)
PAT margin (%)	-14.2%	-4.8%	-4.6%
EPS (Rs)	(10)	(5)	(6)
Cash EPS (Rs)	(1)	10	12

BALANCE SHEET			
Particulars (Rs cr)	FY23	FY24	FY25
Assets			
Net Block	829	964	1,138
Capital WIP	42	63	135
Intangible Assets	-	8	14
Intangible Assets under development	10	9	3
Right of use assets	2,895	2,440	2,628
Other Non-current Assets	336	398	476
Current Assets			
Trade receivables	14	14	26
Cash and Bank Balances	202	52	69
Other Current Assets	143	199	161
Total Current Assets	360	265	255
Current Liabilities & Provisions			
Trade payables	94	120	116
Other current liabilities	214	268	381
Short-term provisions	1	1	2
Total Current Liabilities	309	389	498
Net Current Assets	51	(124)	(243)
Assets Classified as held for sale	1	-	-
Total Assets	4,165	3,758	4,153
Liabilities			
Share Capital	78	79	103
Reserves and Surplus	(46)	(29)	5
Total Shareholders' Funds	31	50	108
Minority Interest	-	-	-
Total Debt	515	427	398
Long Term Provisions	5	5	7
Lease Liabilities	3,398	3,008	3,340
Other Long-Term Liabilities	216	268	300
Net Deferred Tax Liability	-	-	-
Total Liabilities	4,165	3,758	4,153

Cashflows (Rs cr)	FY23	FY24	FY25
Cash flow from Operating Activities	532	743	929
Cash flow from Investing Activities	(307)	(192)	(276)
Cash flow from Financing Activities	(171)	(577)	(638)
Free Cash Flow	207	477	637

RATIOS			
	FY23	FY24	FY25
Profitability			
Return on Capital Employed	18.4%	54.6%	50.8%
Return on Equity	-	-	-
Margin Analysis			
EBITDA Margin	59.6%	63.5%	62.4%
Adj. EBITDA Margin ^{^1}	5.1%	10.2%	12.5%
Net Profit Margin	-14.2%	-4.8%	-4.6%
Short-Term Liquidity			
Current Ratio (x)	0.7	0.5	0.4
Quick Ratio (x)	0.7	0.5	0.4
Avg. Days Sales Outstanding	7	5	7
Avg. Days Payables	120	115	82
Fixed asset turnover (x)	0.2	0.3	0.4
Debt-service coverage (x)	0.1	0.3	0.3
Long-Term Solvency			
Total Debt / Equity (x)	16.4	8.5	3.7
Interest Coverage Ratio (x)	0.4	0.8	0.8
Valuation Ratios^{^2}			
EV/EBITDA (x)	10.6	6.9	5.3
EV/Adj. EBITDA ^{^1} (x)	124.1	43.1	26.3
P/CEPS (x)	-	40.3	35.0
P/B (x)	133.5	84.0	38.9
EV/Sales (x)	6.3	4.4	3.3
P/Sales (x)	5.9	4.0	3.1

^{^1} Adj. EBITDA is EBITDA adjusted for cash outflows for lease liabilities

^{^2} Valuation ratios are based on pre-issue capital at the upper price band

Source: RHP, SSL Research

Peer Comparison (FY25)

Particulars	Smartworks Coworking Spaces Ltd	Awfis Space Solutions Ltd	EFC (I) Ltd
Financials (Rs cr)			
CMP (Rs)	407.0	610.5	322.2
Sales	1,374.1	1,207.5	656.7
EBITDA	857.3	402.4	327.7
Adj. EBITDA	172.2	162.0	-
Adj. Net Profit	(63.2)	42.8	140.8
Mkt Cap.	4,644.8	4,352.2	3,207.1
Enterprise Value	4,528.7	4,293.9	3,296.7
EBITDA Margin (%)	62.4	33.3	49.9
Adj. EBITDA Margin (%)	12.5	13.4	-
Net Profit Margin (%)	(4.6)	3.5	21.4
P/E (x)	-	101.8	22.8
P/CEPS (x)	35.0	35.2	-
EV/EBITDA (x)	5.3	10.7	10.1
EV/Adj. EBITDA (x)	26.3	26.5	-
RoE (%)	(11.4)	9.3	25.9
RoCE (%)	27.0	37.2	31.7
EV/Sales	3.3	3.6	5.0
Key Operating Metrics			
Number of Cities	15	18	9
Number of Centres	50	230	79
Area Under Management (mn sq ft)	9.0	7.8	2.8
Total Capacity Seats	2,03,118	1,34,121	60,000+
Occupancy Rate (%)	83.1	73.0	90.0

For Smartworks Coworking Spaces Limited, the Market cap, P/E(x), EV/EBITDA (x) and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band

Adj. EBITDA is EBITDA adjusted for cash outflows for lease liabilities

CMP as on 8th July, 2025

Source: RHP, Awfis Space Solutions & EFC (I) Investor Presentation, SSL Research

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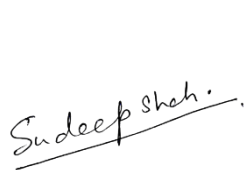
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